portfolio is explained by β, making that factor the most influential in explaining portfolio returns.

2. *Size risk factor.* FF confirmed earlier studies' findings that small stocks have higher returns than the broad market and do not always move in correlation with the broad market. The size factor cannot be diversified away by adding more small stocks; therefore, they are their own unique risk factor. The greater the percentage of small stocks by market weight in a portfolio, the greater the size factor effects on a portfolio.

3. *Value risk factor.* FF quantified earlier studies showing that value stocks have had higher returns than the broad market and that value stocks do not always correlate with growth stocks. Like the size risk, the value factor cannot be diversified away by adding more value stocks; hence, value has its own unique risk factor.

FF has since created a set of indexes that measure size and style factors using their methodology. These indexes are available as a free download on Kenneth French's Web site at Dartmouth College.[4]

THE VALUE FACTOR CONTINUED

Tables 6-5 through 6-7 are comparisons of style returns using three index providers. FF provides the first set of returns, Frank Russell and Company provides the second, and Dimensional Fund Advisors (DFA) provides the third. The FF and DFA indexes go back to 1926, whereas the Russell indexes originate in 1979. The comparison given here uses 30 years of data from the inception of the Russell indexes.

TABLE 6-5
Comparing Large-Cap Funds, 1979–2009

	FF Large Growth	FF Large Index	FF Large Value	Russell 1000 Growth	Russell 1000	Russell 1000 Value
Annualized return	11.3	11.5	13.0	10.5	11.5	12.1
Standard deviation	16.6	15.6	16.1	17.8	15.6	14.9